RBI vs. MAS: Inflation Targeting vs. Exchange-Rate Targeting

How India and Singapore fought the same 2021–23 commodity shock with opposite tools

Executive Summary

India and Singapore spent 2022 fighting the same imported price shock with opposite instruments. The RBI raised its policy rate six times between May 2022 and February 2023, by 250 basis points in total. MAS used the exchange rate, rather than a policy interest rate, as its primary monetary-policy instrument. It tightened five times between October 2021 and October 2022 by steepening and re-centring the exchange-rate band it uses to steer prices.

This brief argues that the contrast is mostly a matter of trade structure. In 2023, Singapore's trade amounted to approximately 326% of GDP, compared with 45% in India. Singapore's greater trade openness strengthens the exchange-rate channel through which monetary policy influences imported inflation. India's trade is roughly half of GDP or less (about 50% in 2022 and 45% in 2023), its credit channel is large and domestic, and a policy rate has real traction on demand and borrowing.

The shock also exposed what each tool cannot do. MAS completed its tightening cycle in October 2022, although core inflation subsequently reached its peak in early 2023, and an exchange-rate band has little reach into domestic costs such as accommodation. The RBI's hikes did little about food, which re-accelerated after it stopped raising rates; over 2021–23, food and beverages alone account for about 80% of the variance in India's headline inflation. Neither framework avoided a large overshoot: headline inflation peaked at 7.8% in India (April 2022) and 7.5% in Singapore (August–September 2022).

1. Institutional Setup

India: the RBI's flexible inflation targeting. Since 2016 the RBI's six-member Monetary Policy Committee has been mandated to keep CPI inflation at 4%, within a tolerance band of 2–6%. Its instrument is the repo rate, the rate at which the RBI lends short-term funds to banks. Floating-rate retail and MSME loans are linked to the repo rate through the External Benchmark Lending Rate, so a rate decision shows up in household EMIs almost immediately. That makes the policy both powerful and politically visible.

Singapore: MAS's exchange-rate-centred framework. MAS has no inflation target and does not set an interest rate. Since 1981 it has steered prices through the trade-weighted Singapore dollar exchange rate, the S$NEER, which it allows to move within an undisclosed policy band. It adjusts three settings: the slope (the pace of appreciation), the width, and the level at which the band is centred. Until 2023 MAS reviewed policy twice a year, in April and October, and added off-cycle moves in January and July 2022 when inflation surprised on the upside. Since 2024 it reviews quarterly. Because the band's level is never published, markets read policy only from MAS's own statements.

2. Why the Difference Exists: Trade Openness

	India	Singapore
Trade (exports + imports) as % of GDP (2023)	44.99%	325.69%
Main channel to consumer prices	Domestic demand and credit, plus food and fuel supply shocks	Imported goods and energy, priced in foreign currency
Food in the CPI basket	Food and beverages about 46% of the 2012-base CPI; the narrower food index about 39%	Much smaller share; MAS's core measure also excludes accommodation and private transport

A small economy that imports almost everything it consumes effectively imports its price level. When MAS guides the S$NEER towards appreciation, a stronger Singapore dollar helps moderate the domestic-currency cost of imported goods and services. However, the transmission to consumer prices depends on exchange-rate pass-through, firms' pricing decisions and time lags. For a small, highly open economy with substantial capital mobility, exchange-rate management is a practical monetary-policy anchor. With an open capital account, Singapore cannot run an independent interest rate and a managed exchange rate at the same time, so its domestic rates follow global ones.

India is the mirror image. Trade is roughly half of GDP or less, the capital account is managed, and bank credit drives a large domestic economy, so the RBI can set its own rate and expect it to matter.

The weak spot in India's case is food. Food and fuel shocks are supply-driven, and a higher repo rate cannot make it rain. That is a real limit on what the RBI's framework can do, and the 2022–23 episode shows it.

3. The 2021–23 Commodity Shock

Both frameworks faced the same shock: the post-pandemic demand rebound, followed by the energy and food price spike after Russia's invasion of Ukraine.

India. Headline CPI inflation averaged 6.7% in FY2022–23, exceeding the RBI's upper tolerance threshold of 6%. Inflation reached 7.79% in April 2022, driven partly by food and fuel prices, while Consumer Food Price Index inflation stood at approximately 8.3% that month. Fuel and light inflation had already run above 10% for most of the period from mid-2021 (Figure 1). The RBI answered with an unscheduled 40 bp hike on 4 May 2022 and five more increases through February 2023, taking the repo rate from 4.00% to 6.50%. It then held at 6.50% until it began cutting in February 2025.

The more telling detail is what came next. Food inflation re-accelerated to 11.5% in July 2023, when headline CPI reached 7.44%, with the repo rate already at its peak, and the RBI did not respond with more hikes. Rate policy could not have prevented a supply-driven spike, and the RBI did not pretend otherwise.

Singapore. Headline CPI inflation averaged 6.1% in 2022 and peaked at 7.5% in August–September, the highest in well over a decade. MAS Core Inflation, which strips out accommodation and private transport, peaked at 5.5% in January–February 2023. MAS tightened five times in twelve months: it raised the slope in October 2021 and again in January 2022, raised the slope and re-centred the band in April 2022, and re-centred it again in July and October 2022 (Figure 2).

Then it stopped. Its last move came in October 2022, about four months before the RBI's, while core inflation was still rising. MAS anticipated that the earlier exchange-rate tightening would help moderate imported inflation over time. By August 2023, Singapore's headline inflation had declined to about 4% and MAS Core Inflation to 3.4%. However, this disinflation cannot be attributed solely to monetary policy, as falling global energy and food prices and other domestic factors also contributed.

What drove headline inflation. To see which components moved headline inflation, I decomposed its month-to-month variance over the 36 months of 2021–23 into covariance shares, so that the shares sum to 100%. In India, food and beverages account for 80% of the variance in headline inflation, fuel and light for 7%, and all other groups for 13% (MoSPI 2012-base weights). In Singapore, MAS Core Inflation accounts for 87% and the non-core components, accommodation and private transport, for 13%. The two splits use different definitions, because MAS's core measure still includes food and energy, so they are not directly comparable, and they describe co-movement rather than causation. What they do show is that India's headline inflation moved almost entirely with food, the component least responsive to rate hikes, while Singapore's moved with a broad underlying measure, as one would expect from a pass-through-driven shock that spreads across the basket.

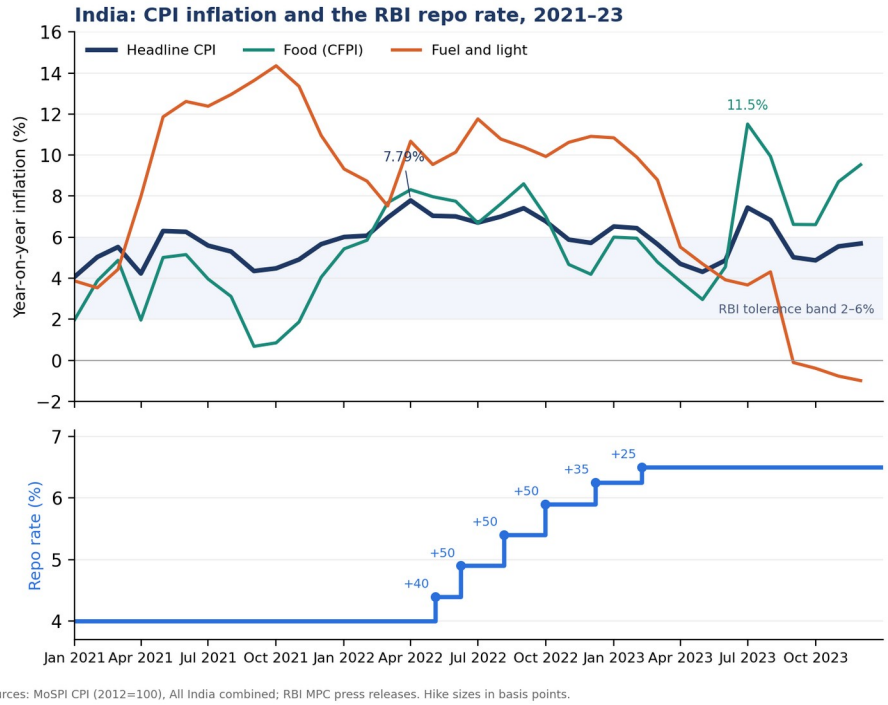


Figure 1. India: CPI inflation (headline, food, fuel and light) and the RBI repo rate, 2021–23. Source: MoSPI CPI (2012=100), All India combined; RBI Monetary Policy Committee press releases. Food is the Consumer Food Price Index.

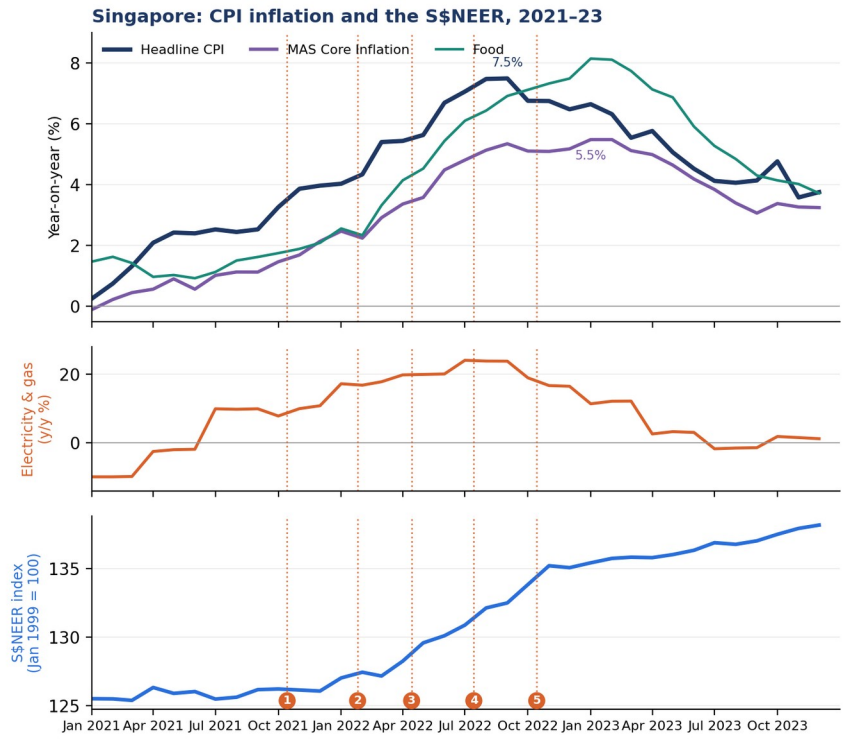


Figure 2. Singapore: CPI inflation, electricity and gas inflation and the S$NEER, 2021–23. Source: SingStat CPI and MAS Core Inflation (2024=100, rebased series); MAS S$NEER (monthly average of weekly data); MAS Monetary Policy Statements for the dates of band changes. Rebased y/y rates can differ from originally published figures by about 0.1 percentage point.

4. Case Evidence: Policy Response Timeline

Date	RBI action	MAS action
Oct 2021	—	Slightly raises S$NEER slope (1st move)
Jan 2022	—	Raises slope again, off-cycle (2nd move)
Apr 2022	—	Re-centres band up and raises slope (3rd move)
4 May 2022	Off-cycle +40 bp to 4.40%	—
8 Jun 2022	+50 bp to 4.90%	—
14 Jul 2022	—	Re-centres band up, off-cycle (4th move)
5 Aug 2022	+50 bp to 5.40%	—
30 Sep 2022	+50 bp to 5.90%	—
14 Oct 2022	—	Re-centres band up (5th and final move)
7 Dec 2022	+35 bp to 6.25%	—
Jan–Feb 2023	—	MAS Core Inflation peaks at 5.5%
8 Feb 2023	+25 bp to 6.50% (final hike)	—
From Apr 2023	Holds at 6.50% for the rest of 2023 and all of 2024	Holds at each review; no further tightening

The timeline shows two styles of tightening. The RBI moved in six large, announced steps over ten months, each visible in household loan EMIs the same day. MAS moved in five smaller steps over twelve months, to a band whose level it never publishes. The RBI communicates its policy stance through an observable interest rate, whereas MAS communicates changes to the slope, width and centre of its exchange-rate policy band without publishing the band's numerical parameters.

The sharpest difference is the stopping point. MAS had finished tightening before the RBI's last two hikes, in December 2022 and February 2023. One possible explanation is that MAS expected its earlier exchange-rate tightening to continue moderating imported inflation. However, the subsequent disinflation cannot be attributed solely to monetary policy, given the concurrent easing of global food and energy prices. The RBI's hikes work through borrowing and demand, which are slower and, for food, largely beside the point.

5. Conclusion

My reading is that the choice of instrument tracks trade structure, and that the 2021–23 shock shows why each country is better off with its own tool. Singapore's exchange rate does the one thing a small open economy needs, which is to move import prices quickly, and MAS used that speed to stop tightening early. India's policy rate works where it has reach, in domestic demand and credit, and fails where it does not, in food.

A skeptic will say this reads structure into what is really history. MAS has run exchange-rate policy since 1981, and India only adopted inflation targeting in 2016, so neither choice was a response to this shock. That is fair, and this brief does not claim the shock caused either choice. The claim is narrower: structure explains why each framework remains workable, and why neither country could simply swap tools. Singapore's open capital account would not allow an independent interest rate, while India's lower import share would blunt the exchange-rate channel, and its food prices respond more to monsoons and domestic supply chains than to the currency.

A subsequent energy-price shock would provide another test of these frameworks. Exchange-rate appreciation may help Singapore cushion imported price pressures, while interest-rate tightening in India would primarily operate through domestic credit and aggregate demand. Neither instrument can directly eliminate a global supply disruption, reinforcing the importance of distinguishing monetary-policy transmission from the underlying causes of inflation.

Sources and Method

RBI Monetary Policy Committee press releases (4 May, 8 Jun, 5 Aug, 30 Sep, 7 Dec 2022; 8 Feb 2023). MAS Monetary Policy Statements (October 2021; January, April, July and October 2022; April 2023). MoSPI Consumer Price Index, All India combined (2012=100), including the Consumer Food Price Index and the Food and Beverages and Fuel and Light groups. SingStat Consumer Price Index and MAS Core Inflation (2024=100). MAS S$NEER weekly index (Jan 1999=100), averaged by month. World Bank World Development Indicators, trade (% of GDP).

Method: year-on-year inflation from index levels (India: MoSPI's published rates). Variance shares are Cov(component contribution, headline) / Var(headline) over Jan 2021–Dec 2023. India's contributions use MoSPI base weights (food and beverages 45.86, fuel and light 6.84, other groups 47.30). Singapore's split is headline versus MAS Core Inflation, with the residual covering accommodation and private transport.